

1 DEVELOPMENT OF THE PIERER MOBILITY GROUP

1.1 THE COMPANY

PIERER Mobility AG is the holding company of KTM AG, one of Europe's leading motorcycle manufacturers. With a focus on the premium segment, the company combines brands such as KTM, Husqvarna and GASGAS under one roof. The premium brand range also includes the high-performance components of the WP brand and the special KTM X-BOW high-performance sports cars. Husqvarna and GASGAS electric bicycles as well as bicycles of the Felt brand complement the two-wheeler range of the PIERER Mobility Group (the "Group").

The shares of PIERER Mobility AG are primarily listed in the "Swiss Performance Index (SPI)" of the SIX Swiss Exchange in Zurich and are also listed in the prime market segment of the Vienna Stock Exchange.

1.2 RESTRUCTURING PROCEEDINGS KTM AG, KTM COMPONENTS GMBH AND KTM FORSCHUNGS & ENTWICKLUNGS GMBH

SITUATION AND STATUS OF THE RESTRUCTURING PROCEDURES

KTM AG is a 100% subsidiary of PIERER Mobility AG and was responsible for more than 95% of the PIERER Mobility Group's revenue in H1 2024.

In November 2024, in the course of liquidity planning for the 2025 financial year, it became clear that KTM had to cover significant additional liquidity requirements. Despite intensive efforts to resolve the situation out of court together with creditors and lenders, on November 29th, a court "restructuring procedure with self-administration" was filed over the assets of KTM AG and its subsidiaries KTM Components GmbH and KTM Forschungs & Entwicklungs GmbH. The aim of the proceedings was to agree on a restructuring plan with the creditors within the time frame provided for by law, specifically by February 25, 2025, and to continue the KTM Group after approval and fulfilment of this plan.

In addition to negotiations with creditors, the Group initiated a series of measures to reduce costs in the short term and redimension production in Austria in the long term. It was decided to interrupt production in Mattighofen/Munderfing from December 13, 2024 to March 2025 and then to continue in one-shift operation (previously in two-shift operation). This measure was accompanied by a further reduction in staff and a temporary (for the period of the interruption of production) reduction in working hours from the standard 38.5 hours per week to 30 hours per week. In addition to short-term cost reductions, this measure supported the accelerated reduction of high inventories. Further information on the measures initiated in the course of the restructuring process can be found in the chapter "Events after the accounting date".

The creditors accepted the restructuring plans of the three companies on February 25, 2025. A cash ratio of 30% has been agreed with the creditors of KTM AG, which had to be deposited with the restructuring administrator by May 23, 2025. The court is expected to confirm the restructuring plans in June 2025. After the legal entry into force, the restructuring proceedings of KTM AG as well as the two subsidiaries have come to an end.

The accounting in the notes to the consolidated financial statements and the reporting in the following Group management report were unchanged under the assumption that KTM would continue to operate. This assessment is based on current findings and developments in connection with the restructuring procedure. In principle, the restructuring procedure is therefore not accompanied by any change in the accounting principles applied and in accounting and valuation policies.